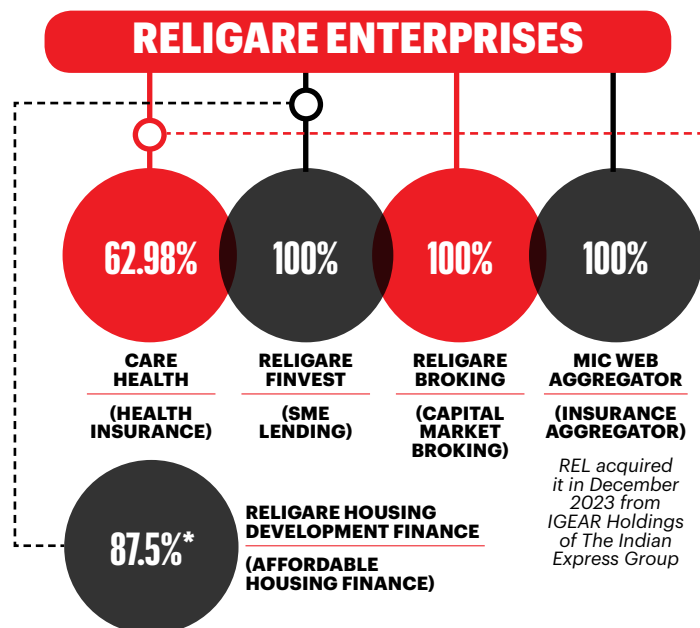
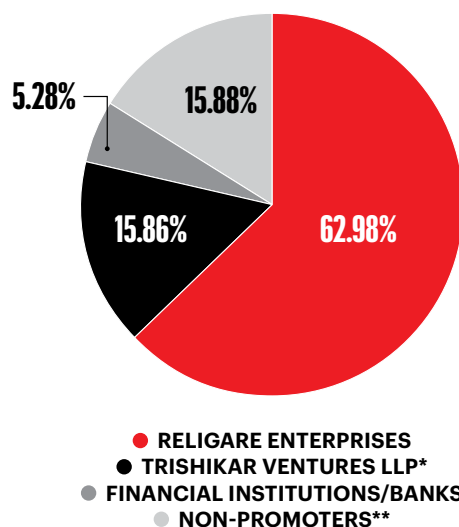


CURRENT BUSINESS STRUCTURE



*THE REMAINING 12.5% IS WITH MAHARISHI HOUSING DEVELOPMENT TRUST
SOURCE COMPANY REPORTS, VENTURA RESEARCH, ICRA

CARE HEALTH'S SHAREHOLDING



*A FUND OWNED BY KEDAARA CAPITAL

**INCLUDES MUTUAL FUNDS AND FOREIGN PORTFOLIO INVESTORS

SOURCE CARE HEALTH INSURANCE PUBLIC DISCLOSURES FOR FY24

at brokerage Ventura Securities, “The business can be easily capitalised with a financially strong promoter. Plus, the Burmans are known to be long-term players with a lot of patience,” he says.

Meanwhile, under Saluja, Religare’s businesses are growing. Take housing finance. Bolinjkhar says there is room for at least 10 more players. “The need in REL across its businesses comes down to the ability to invest, raise capital and address the negative governance perceptions. There is an obvious momentum,” says Bolinjkhar.

He says most of the valuation in REL comes from Care. “In Kedaara Capital, they already have a good investor, and there is more room to unlock value,” Bolinjkhar says. Saluja points out that Care, as a stand-alone health insurance firm, is the second largest and fastest growing

entity with a CAGR of 35%. “Health insurance will grow as a nation progresses, and we are in a sweet spot. Our combined ratios [claim-related losses and expenses upon total premium earned] have come down, and there is a great partner in Kedaara,” she says.

Vineet Patni, an insurance sector veteran, says, “Health insurance penetration in India continues to be low with limited or poor access to quality healthcare. There is also a growing cost of healthcare leading to significant pressure on individuals.” Patni, a Partner at Wepartner Consult LLP, was earlier CXO at Bajaj Allianz and Bharti AXA.

Rising per capita incomes also lead to more cases of non-communicable diseases, making health insurance even more necessary. Patni says Care focussed on quality

products and individual businesses rather than group businesses.

“That is way more profitable and rewarding to a player in the long run. It has a strong niche with higher price points but offers simpler and better service,” he explains. From his point of view, Care is an established player with the potential to scale up significantly with funding.

What is the way ahead? As things stand, nothing is more important than growing the business in a market full of opportunities, and protecting the interests of minority shareholders. Whoever gets control of the new-look REL will have to focus on these two aspects.

There is still much that will play out in this hostile takeover, and time is a key player in this tale. **BT**

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